

period, the principal part of the loan – which hasn't reduced because payments haven't been made against it – continues to accrue interest. After returning to paying both the principal and interest, there is less time than when the loan was first taken out in which to pay back the loan, meaning increased monthly payments. Interest-only loans also slow the creation of equity, as the property's value might be increasing but the amount owed is also increasing.

The financial watchdog – the Australian Prudential Regulation Authority – has cracked down on interest-only loans, and they've become harder to get. Investors have used interest-only loans to generate wealth, as they carry tax benefits, but these types of loans are also often seen as an affordability tool for other buyers, including first home buyers. They come with a caveat of warnings. For example, one study by UBS, the investment bank, found that one in three borrowers don't understand their loan repayments are interest-only, likely due to lack of financial literacy. When their repayments jump by between 30 and 60 per cent at the end of the interest-only period, many encounter financial stress.

If you take out an interest-only loan, understand what your repayments will be – and if you can meet them without pressure – when the interest-only period is over.

ANZ provides this online explanation of how principal and interest, and interest-only, lead to different outcomes on the same amount loaned:

Pam and Ivy both borrow \$500,000 on a 30-year variable home loan.

Pam pays off principal and interest at \$2,746 a month. Her interest rate is 5.20 per cent per annum.

Ivy pays off interest only for 5 years at \$2,386 a month, saving \$350 a month compared to Pam. Her interest rate is slightly higher, at 5.75 per cent per annum.

After five years, Ivy goes back to making principal and interest payments.

Over the next six to 30 years, Pam is still paying \$2,746 a month, at 5.20 per cent per annum. Ivy is paying principal and interest at 5.20 per cent per annum, but with a monthly repayment of \$2,982.